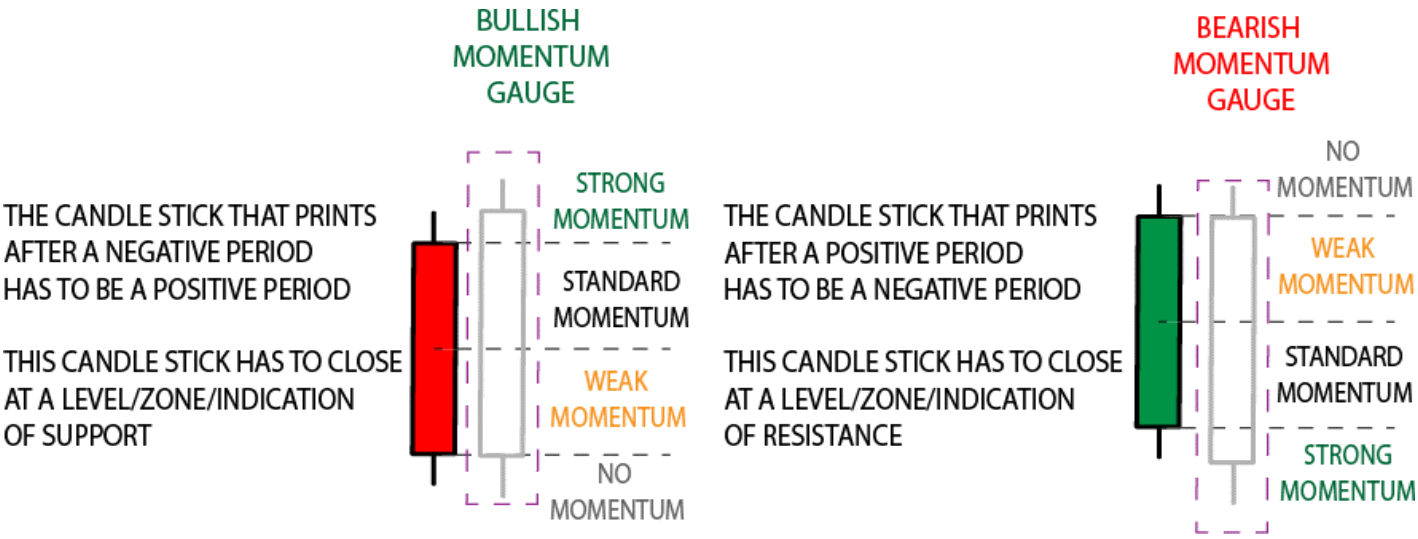
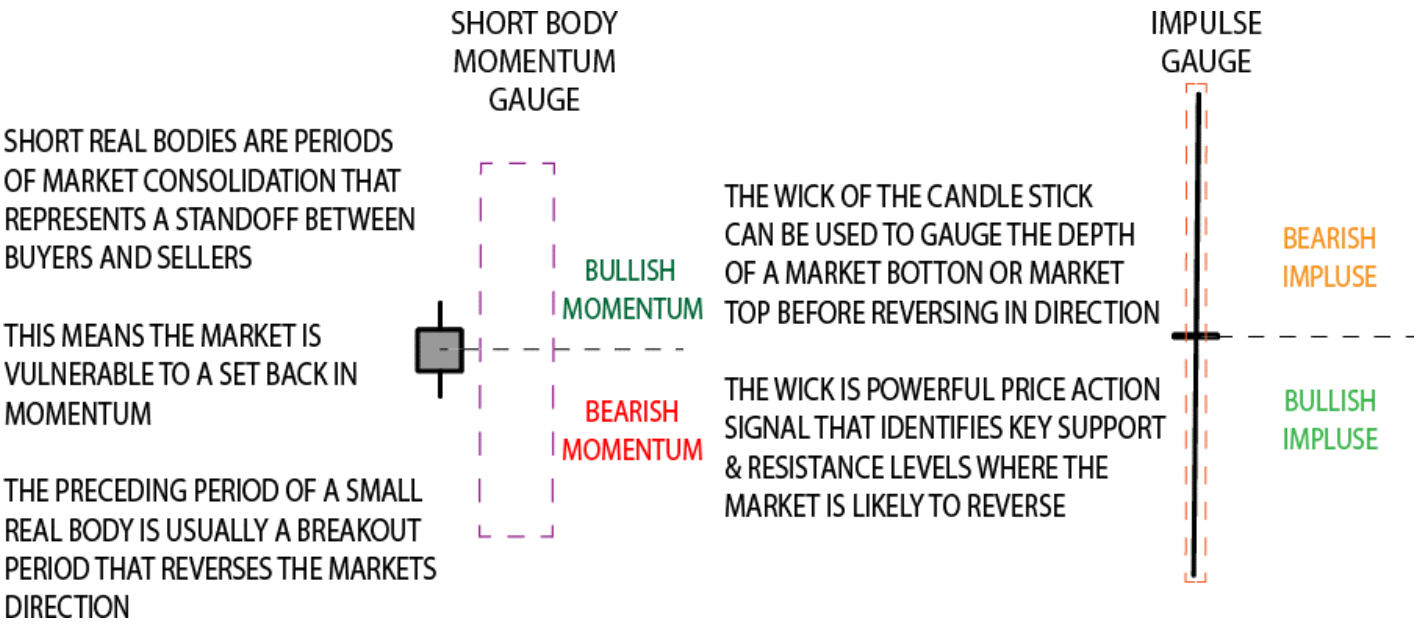
Price Action

Price action is a method of analyzing basic price movements in a financial market. It's used to make predictions on the future direction of the price of a currency or stock. It's easily identified in markets with high liquidity and volatility. Price actions main focus is on connecting the relationship of a market's current price to its past or recent prices. This kind of analysis allows you to make sense of markets price movement and provides clues that can be interpreted and used to try and predict the next move in a market.





Wicks/Shadows are a pivotal part of price action analysis because they show us potential price reversals at the earliest phase, while also validating support & resistance zones in the market.

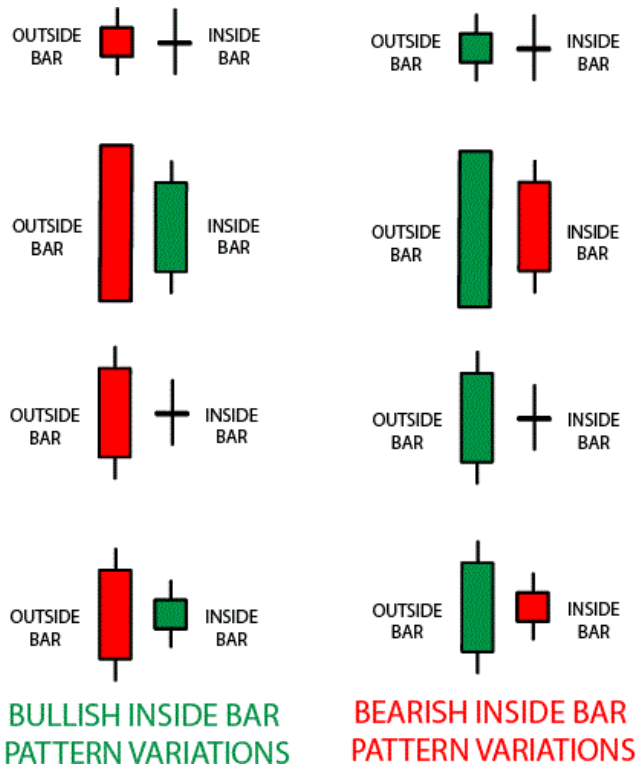
An Inside bar pattern or Harami pattern is a two-bar pattern, consisting of the inside bar and the prior bar which is usually referred to as the outside bar. The inside bar is contained completely within the open to close range of the outside bar. This price action strategy is commonly used as a breakout pattern in trending markets, but it can also be traded as a reversal signal if it forms at support or resistance levels.

INSIDE BARS WORK BEST ON HIGHER TIME FRAMES, MAINLY BECAUSE THERE ARE JUST TOO MANY INSIDE BARS PRINTING ON THE LOWER TIME FRAMES CAUSING THEM TO BE MEANINGLESS LEADING TO FALSE BREAKOUTS

TYPICALLY, THESE OFFER GREAT RISK TO REWARD RATIOS BECAUSE THEY PROVIDE A TIGHT STOP LOSS PLACEMENT AND LEADS TO A STRONG BREAKOUT IN PRICE

THIS PATTERN CAN HAVE MULTIPLE INSIDE BARS WITHIN THE SAME OUTSIDE BAR. THIS REPRESENTS A LONGER PERIOD OF CONSOLIDATION WHICH OFTEN LEADS TO A STRONGER BREAKOUT IN PRICE

WE MUST ALWAYS WAIT FOR THE CANDLE PRECEDING THE INSIDE BAR TO CLOSE BEFORE ENTERING THE TRADE TO REDUCE ANY LIKELYHOOD OF FALSE BREAKOUTS



The patterns or setups generated from price are the most important aspect of price action trading, because these patterns displays strong signals as to what might happen next. **The best price action signals are those that form at 'confluent' points in the market.** Confluence, simply means 'a coming together' of things. **In the case of price action trading we are looking for an area on the chart where several factors emerge with a price action entry signal.** When this happens, we say the price action signal 'has confluence'.